properly, which means that supply of these homes do not come out on time," says Dutt. None of that is designed in terms of quality of the product, last-mile connectivity, consideration of social infrastructure such as schools and hospitals. "They are done in locations with poor access...liveability index is poor. So, it does not serve the purpose even if they do get built," he adds.

Inadequate institutional investments in affordable housing is yet another drawback. The segment has seen minimal engagement from major institutional investors, large-scale developers and public sector institutions. Instead, the bulk of construction activity in this space is driven by small and local developers who typically face constraints in terms of funding, project execution and adherence to regulatory standards, says the Knight Frank study. Extended timelines for project approvals and development clearances add significant financial burdens to builders, discouraging investments in low-margin projects.

THE POLICY PRESCRIPTION

The cost of capital in India is very high, followed by high taxes. "We have spoken about ease of doing business, but the cost of doing business is very high," says Dutt. Many say that the real estate sector has several vested interests, because of the nature of the business. "State and central governments monetise their power in a way that it can only be accessible by rich and influential people. We are shutting every door and yet asking: why can't we do affordable development?" he says.

Dutt believes the government holds the key to unlocking the sector's potential. There has to be a serious effort to monetise vast tracts of land owned by the Centre and state governments. "There are 18,000 acres of port trust land in Mumbai. There were 350 acres of Dharavi land. There is plenty of land belonging to the Railways and defence. None of these bodies have been instructed to do anything about affordable homes," he says.

Moreover, the governments, in their city development plans, need to classify certain locations that must be reserved for affordable housing or mass housing, says Knight Frank's Zia. "For example, there are land reservations for schools and hospitals, and civic amenities. If affordable housing is so crucial to maintain social equality, why is the government not classifying certain land only for it?" he asks. In land-scarce cities such as Mumbai, however, this may be difficult. That makes it all the more important to unlock underutilised land held by central agencies such as the railways and the defence establishment.



"The government holds the key to unlocking the affordable housing potential. There must be a serious effort to monetise vast tracts of land owned by the Centre and states"

SANJAY DUTT
MD & CEO, Tata Housing



"Most private developers have been driven away from affordable housing since the mid-to-upper end, which offers better margins, has thrived in the last 4-5 years"

GULAM ZIA
Senior Executive Director, Knight Frank India

Another solution is to improve connectivity between cities and the hinterland. In Mumbai, for instance, if people can commute from Vasai, Virar, Panvel or Karjat within an hour, supported by affordable transport and better social infrastructure, part of the housing crisis could be addressed. Today, many spend over two hours commuting in overcrowded conditions at considerable expense. Experts also stress the need for an efficient sea transport network.

PMAY-U has worked better in blue-collar economies, where the key input—land—is relatively inexpensive. The white-collar services sector, concentrated mostly in metros and tier-2 cities, has been a major growth driver, but the scheme has not worked as well there, says Dutt. Wherever there is manufacturing or services, there should be a 30-40-year master plan with affordable transportation, hinterland connectivity and adequate social infrastructure. Hiranandani is of the view that the government also has to offer direct price support. "There should be some sort of subsidy which should be given, like the stamp duty and development charges concessions that the Maharashtra government had allowed during the pandemic," he says.

But that is only part of the solution; affordable housing cannot succeed in isolation. It should be part of broader urban development. Cities need to offer an affordable quality of life, too. "It should be a place where a delivery boy or a cab driver—both vital to a modern city life—can also have a hygienic breakfast," says Dutt, citing Singapore, where the quality of food sold on the street matches that in hotels.

Affordable housing is not a showpiece for developers but an essential need for millions of urban Indians. While the private sector's retreat from the segment is worrying, the bigger concern is the absence of long-term, integrated planning, which has limited even government-led initiatives largely to smaller towns. Unless affordable housing becomes central to urban planning, India's inequalities will persist, and the promise of a Viksit Bharat will remain out of reach. ■